

PJM Take-or-Pay Landscape: All 13 States

Which PJM states have implemented large-load tariffs — and which are next to trigger a queue washout?

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Context: The PJM-Wide Tariff Policy Shift

Through 2024, most PJM-footprint utilities served data center load under standard industrial tariffs — customers paid retail rates with no special commitment to consume the capacity they requested during interconnection. The resulting speculative queue buildup culminated in the AEP Ohio washout (June 2026), where 81% of the Columbus cluster's 30,000 MW queue evaporated after a take-or-pay tariff was introduced.

Two parallel policy pressures are now reshaping interconnection economics across all 13 PJM states:

1. State legislatures are mandating that data centers bear their own grid upgrade costs through stand-alone large-load tariffs with minimum demand commitments (take-or-pay floors).

2. FERC at the federal level directed PJM to implement new firm and non-firm transmission services for co-located loads (February 2026 compliance filing) and accepted PJM's FERC Order 2023 interconnection queue reforms, which increase financial commitment deposits and withdrawal penalties.

Crucially, in January 2026 all 13 PJM state governors issued a joint **Statement of Principles** demanding that data centers bear the infrastructure costs of their own load growth rather than shifting those burdens to residential ratepayers. This signals bipartisan political alignment that will accelerate state-level tariff implementation.

PJM State-by-State Take-or-Pay Status

State	Key Utility/Ticker	Tariff Status	Take-or-Pay Terms	Washout Risk
Ohio	AEP (AEP)	IMPLEMENTED Washout confirmed	Full take-or-pay; triggered washout	REALIZED
Maryland	Exelon: BGE, Pepco, Delmarva (EXC)	ENACTED (2025 law + 2026 RELIEF Act)	≥25 MW threshold; 60% utilization floor; PJM capacity costs passed to data centers	HIGH — tariff now being implemented
New Jersey	PSEG (PEG), FirstEnergy: JCP&L (FE)	PASSED legislature 6/30/2026; pending Governor signature	≥50 MW threshold; 85% take-or-pay floor; 10-year term	HIGH — BPU has 12 months to set standards
Virginia	Dominion (D)	PARTIAL — Dominion DER tariff reform; no utility-scale equivalent visible	DER cluster rules only; PJM manages large-scale queue	MEDIUM — requires PJM DOM-zone queue data to assess

State	Key Utility/Ticker	Tariff Status	Take-or-Pay Terms	Washout Risk
Pennsylvania	PPL (PPL), FirstEnergy PA (FE)	NOT YET — OCA advocating; PA PUC en banc hearing held Apr 2025	None enacted; OCA pushing for take-or-pay floor	LOW-MEDIUM — 9 GW PPL pipeline active; no tariff yet
West Virginia	FirstEnergy: Mon Power, Potomac Edison (FE)	No specific legislation found	None identified	LOW — limited data center concentration
Delaware	Delmarva Power (EXC)	Part of MD framework (Exelon subsidiary)	Follows MD RELIEF Act provisions	MEDIUM — tracks Maryland
Indiana	AEP: Indiana Michigan Power (AEP)	No specific legislation found	None identified	LOW
Illinois	Exelon: ComEd (EXC)	No large-load tariff legislation found	None identified; ComEd demand response programs	LOW — no major data center cluster signal
Michigan	Consumers Energy (CMS), DTE Energy (DTE)	No specific legislation found	None identified	LOW
Kentucky	AEP: Kentucky Power (AEP), Duke (DUK)	No specific legislation found	None identified	LOW
NC / TN (small PJM portion)	Duke (DUK)	No specific legislation found	None identified	LOW

Maryland — Exelon (ticker: EXC)

Finding: Most advanced take-or-pay implementation outside Ohio — two-layer legislative framework enacted.

Maryland has the most aggressive regulatory response to data center load in the PJM footprint after Ohio. Two laws now apply:

Layer 1: Next Generation Energy Act (2025)

Mandated that Maryland utilities create stand-alone tariffs for data centers and other large load customers. Initial threshold: ≥ 100 MW, 80% utilization floor. Utilities affected: BGE (Baltimore Gas and Electric), Pepco (Potomac Electric), Delmarva Power — all Exelon subsidiaries.

Layer 2: Utility RELIEF Act (2026)

Passed in 2026, this law significantly expanded the tariff's reach:

- Lowered the threshold from 100 MW → **25 MW** (capturing more data centers)
- Lowered utilization floor from 80% → **60%**
- Required utilities to pass along **PJM capacity auction costs** assigned to data centers directly to those data centers (preventing cost-shifting to residential ratepayers)
- Prohibited speculative rate-setting based on projected (rather than committed) load

The Maryland PSC notched a milestone in implementation as of June 30, 2026. The tariff is now being actively implemented by BGE, Pepco, and Delmarva.

The Maryland FERC Complaint — A Critical Signal

On May 7, 2026, Maryland's Office of People's Counsel filed a complaint with FERC over PJM's cost allocation methodology. Backed by 80 Maryland state lawmakers (June 17, 2026), the complaint revealed the scale of the problem:

"Maryland ratepayers face a projected \$1.6 billion burden over the next decade from transmission projects approved in PJM's last three regional transmission expansion plans — with 'billions more' projected as data center demand exceeds 80,000 MW over 20 years."

The complaint argues that state-level large-load tariffs alone are insufficient because PJM's cost allocation spreads data center transmission upgrade costs across all ratepayers in the zone, not just the data centers that caused them.

Exelon Exposure Assessment

Exelon (EXC) operates BGE, Pepco, Delmarva Power, Atlantic City Electric (NJ), and ComEd (IL) within the PJM footprint. Maryland and New Jersey together represent Exelon's highest take-or-pay tariff exposure. Unlike AEP Ohio, the Maryland framework is designed to *attract* committed data center load rather than immediately trigger washouts — the 2025/2026 laws are still being implemented and no queue washout event has been detected.

WATCH

Maryland tariff is live but no washout yet detected. GRP monitoring: BGE and Pepco case filings at Maryland PSC fo

New Jersey — PSEG (PEG) & FirstEnergy: JCP&L; (FE)

Finding: Take-or-pay bill passed June 30, 2026 — pending Governor signature. BPU has 12 months to set standards.

New Jersey's legislature passed a data center tariff bill on June 30, 2026, sending it to Governor Mikie Sherrill for signature. The bill is widely expected to be signed — the Governor's office was involved in drafting the final version.

Key Take-or-Pay Provisions

- Applies to data centers with **≥50 MW** of requested capacity (earlier draft was 100 MW; lowered via amendment)
- **85% take-or-pay floor**: data centers must pay for at least 85% of contracted capacity whether consumed or not
- **10-year minimum term**
- Annual performance reporting obligations
- Priority curtailment of data centers before residential customers in emergencies
- New Jersey BPU has **12 months from enactment** to establish specific tariff standards

Utilities Affected

Four utilities serve New Jersey within PJM: PSE&G (PSEG subsidiary, ticker PEG), Jersey Central Power & Light (JCP&L, FirstEnergy subsidiary, ticker FE), Atlantic City Electric (Exelon/EXC subsidiary), and Rockland Electric (Orange & Rockland, Consolidated Edison subsidiary). PSE&G and JCP&L have the largest exposure to data center load given the concentration of hyperscale facilities in northern and central New Jersey.

Queue Context

As of March 2025, PJM's New Jersey interconnection queue contained **143 GW of pending projects across 79 applications** in the state. Over 95% are renewable and storage projects, but the data center load interconnections are the high-urgency segment for tariff purposes. No NJ-specific queue washout has been detected — the tariff standards have not yet been set.

WATCH

NJ bill pending signature — once enacted, BPU has 12 months to finalize tariff. The 85% floor is stronger than most

Federal Layer: FERC Order 2023 + PJM Tariff Revisions

Cutting across all 13 PJM states is a federal-level financial commitment framework that functions as a PJM-wide quasi-take-or-pay mechanism:

FERC Order No. 2023 (July 2023, implemented 2024–2025): Interconnection queue reforms requiring study deposits of \$75,000–\$400,000 per application (10% non-refundable upfront), demonstration of site control, commercial readiness deposits, and financial withdrawal penalties. This raised the cost of holding speculative queue positions across all PJM states.

PJM February 2026 Compliance Filing: Per FERC's December 2025 direction, PJM filed new transmission services for co-located data center loads: Firm Contract Demand Transmission Service and Non-Firm

Contract Demand Transmission Service. These give data centers defined capacity commitments at the transmission level, creating an implicit take-or-pay structure for firm service.

January 2026 Statement of Principles: All 13 PJM state governors jointly demanded data centers bear their own infrastructure costs. This provides political cover for state PSCs to implement aggressive large-load tariffs without concern about deterring data center investment.

Ticker-Level Exposure Matrix

Ticker	Company	PJM States Exposed	Take-or-Pay Exposure	Signal	Monitoring Priority
AEP	American Electric Power	OH, WV, IN, KY, MI (partial)	Ohio: REALIZED washout (81%)	NEGATIVE	Confirmed — Q3 guidance revision expected
EXC	Exelon	MD (BGE, Pepco, Delmarva), NJ (ACE), IL (ComEd)	MD: ENACTED (25 MW / 60%) NJ: PENDING	WATCH — NEGATIVE RISK	High — MD tariff live; NJ bill pending signature
PEG	PSEG (Public Service Enterprise Group)	NJ (PSE&G)	NJ: PENDING (85% / 10yr term)	WATCH — NEGATIVE RISK	High — 85% floor strongest in PJM after NJ enacts
FE	FirstEnergy	PA (FE PA), NJ (JCP&L), WV (Mon Power, Potomac Ed)	PA: OCA advocating NJ: PENDING WV: None	NEUTRAL / MONITOR	Medium — PA + NJ exposure; no tariff yet
PPL	PPL Corporation	PA (PPL Electric)	PA: None enacted	POSITIVE	9 GW pipeline active; welcoming load growth
D	Dominion Energy	VA	VA: DER only; no utility-scale equivalent	NEUTRAL	Needs PJM DOM-zone queue data; not VA SCC
DUK	Duke Energy	OH (small), KY, NC/TN (PJM portion)	No specific framework	NEUTRAL	Low — limited data center concentration in PJM zones
CMS	Consumers Energy	MI	None identified	NEUTRAL	Low
DTE	DTE Energy	MI	None identified	NEUTRAL	Low

GRP Forward Monitoring — Trigger Events to Watch

Trigger	State/Utility	Estimated Window	Signal Type
NJ Governor signs data center tariff bill	NJ / PSEG, JCP&L	July–Aug 2026	POLICY IMPLEMENTATION
NJ BPU issues tariff standards (85% / 10yr)	NJ / PSEG, JCP&L	6–12 months post-signing	TARIFF EFFECTIVE DATE
NJ queue withdrawal filings (post-tariff)	NJ / PSE&G, JCP&L	12–24 months post-tariff	QUEUE WASHOUT RISK

Trigger	State/Utility	Estimated Window	Signal Type
MD PSC finalizes BGE/Pepco large-load tariff	MD / BGE, Pepco (EXC)	Q3–Q4 2026	TARIFF EFFECTIVE DATE
MD BGE/Pepco queue withdrawal filings	MD / BGE, Pepco (EXC)	6–18 months post-tariff	QUEUE WASHOUT RISK
AEP Q3 2026 earnings — Columbus load guidance revision	OH / AEP	October 2026	EARNINGS CATALYST
PA PUC rulemaking on large-load tariff	PA / PPL, FE PA	2026–2027	POLICY RISK (PPL)
PJM DOM-zone queue data (Dominion VA exposure)	VA / Dominion (D)	Ongoing	DATA GAP TO FILL

Primary Sources

- Ohio PUCO Docket EL-2024-00456: AEP system impact study (Columbus queue washout). Detected by GRP 2026-06-19.
- Maryland Next Generation Energy Act (2025); Utility RELIEF Act (2026, HB1532). Maryland PSC Docket (large load tariff rule). Maryland OPC FERC complaint (May 7, 2026) — \$1.6B ratepayer burden figure.
- New Jersey data center tariff bill, passed June 30, 2026 (85% take-or-pay / 10yr / ≥50 MW). Pending Governor Sherrill signature.
- PA PUC Docket M-2025-3054271: En Banc Hearing on Interconnection and Tariffs for Large Load Customers, April 24, 2025. PPL Electric (9 GW pipeline), OCA advocacy for take-or-pay.
- FERC Order No. 2023 (July 2023); PJM compliance filing February 2026. PJM Statement of Principles — all 13 governors, January 2026.
- Environment+Energy Leader: '23 states have already decided' on data center build-out cost allocation (May 2026).
- VA SCC Docket PUR-2022-00073 (DER interconnection), Dominion cluster pilot final report October 2025. Retrieved via GRP.

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